Islamic Online University
FPEC 101:
Principles of Micro and Macro Economics
Midterm Study Questions

1	What is the key difference between Micro and Macro Economics?
2	Distinguish between Positive and Normative Economics.
3	Explain the basic economic problem with help of the Production Possibility Curve.
4	Compare and contrast the various economic systems.
5	Describe the circular flow of income.
6	Explain the Laws of demand and supply. Distinguish between movements along the curve and shifts of the curves.
7	Distinguish between equilibrium and disequilibrium in market causing need for government intervention.
8	What is price elasticity of demand, its types, determinants, calculation and importance?
9	What is price elasticity of supply, its types, determinants, calculation and importance for producer?
10	Elaborate the concepts of Income and Cross Elasticity.
11	What are economic costs and profits?
12	Understand the short run, short run production relationships and costs.
13	What are the Long run production costs and the concept of economies of scale?
14	How do businesses grow and how do their legal forms change?
15	Analyze the various market structures with features, short and long run equilibriums, barriers, etc (all aspects) in detail.
16	Analyze the Anti-Trust Laws, competition Policy and the different ways of regulation and deregulation.
17	Explain the concepts of real and nominal wage, labor productivity and wage determination in a purely competitive labor market. What is the impact of a minimum labor wage rate?
18	Why do wages differ? What are the various methods of pay for performance?
19	Analyze the concepts of income inequality, poverty and discrimination in detail.
20	Explain the concept of Market failure and the various ways it occurs. How does the government regulate it?